IN THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH

COURT-III

C.P.(CAA)/45/ND/2023

WITH

C.A.(CAA) 43/ND/2023

[Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.]

IN THE MATTER OF:

M/s. UPPAL PROJECTS PRIVATE LIMITED

... Transferor Company / Petitioner Company No.1

AND

M/s. UPPAL HOUSING PRIVATE LIMITED

...Transferee Company/ Petitioner Company No.2

Order Delivered on: 14.12.2023

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant: Mr. Rajeev K. Goel, Mr. Kartikeya Goel Advs.

For the IT Dept. : Mr Gaurav Gupta, Sr Standing Counsel with Mr Puneett Singhal and Mr Shivendra Singh, Jr Standing Counsels

For the RD: Adv. Shankari Mishra , Adv. Niharika Tanwar

For the OL: Ms. Hemlata Rawat, Counsel for OL

ORDER

PER: ATUL CHATURVEDI, MEMBER (TECHNICAL)

1. This Petition is preferred jointly by the Transferor Company and Transferee Company under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for the purpose of the approval of the Scheme of Amalgamation (hereinafter referred to as **'Scheme'** for brevity), as contemplated between the Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The details of the Companies proposed to be amalgamated, as placed on record, are given in the following paragraphs.

2. **M/s. Uppal Projects Private Limited**, (hereinafter referred to as "Transferor Company"/"Petitioner Company No.1") having CIN: U70109DL2006PTC154035 is a private company limited by shares incorporated on 18.09.2006 under the Companies Act, 1956 having its registered office at 261, First Floor, DLF South Court, Saket, New Delhi-110017.

3. **M/s. Uppal Hosing Private Limited**, (hereinafter referred to as "Transferee Company"/" Petitioner Company No.2") having CIN: U74889DL1991PTC043274 is a private company limited by shares incorporated on 27.02.1991 under the Companies Act, 1956 having its registered office at 261, First Floor, DLF South Court, Saket, New Delhi-110017.

4. The present Petition has been filed by Transferor Company and Transferee Company jointly for amalgamation. The rationale for amalgamation is stated as follows: -

   a) Both the Transferor and Transferee Companies are closely held un- listed Group Companies under common management and control. The proposed amalgamation of the Transferor Company with the Transferee Company would result in business synergy, consolidation of the Group Companies and pooling of their resources into a single entity.

   b) The Transferee Company is the Flagship Company of the Group, engaged in real estate business. The Transferor Company is also engaged in real estate business. It would be advantageous to combine the activities and operations of both these Companies in a single company, to grow the business in an efficient manner, achieve operational synergies and benefits from economies of scale by combining the Transferor company with the Transferee Company by way of amalgamation; and build strong capability to effectively meet future challenges in a competitive business environment. The proposed amalgamation will enable Integration of respective business activities of the Transferor Company with those of the Transferee Company.

   c) The proposed Amalgamation would result in business synergy, pooling of physical, financial and human resource of these Companies for the optimal utilization of these factors in the combined entity. The proposed Scheme of Amalgamation will further strengthen the financial position of the Transferee Company.

   d) The proposed Scheme of Amalgamation will result in usual economies of a centralized and a large company including elimination of redundancies, reduction of overheads, optimal utilization of financial, human and other resources and enhancement of overall business efficiency. The proposed Scheme of Amalgamation will enable these Companies to combine their managerial and operating strength, to build a wider capital and financial base and to promote and secure overall growth.

   e) The amalgamation will result in significant reduction in multiplicity of legal and regulatory compliances which at present are required to be made

separately by the Transferee Company as well as by the Transferor Company.

f) The proposed Amalgamation will streamline and simplify the shareholding structure.

g) The proposed amalgamation would enhance the shareholders' value of the Transferor and the Transferee Companies.

h) The proposed Scheme of Amalgamation will have beneficial impact on the Transferor and the Transferee Companies, their shareholders, employees and other stakeholders and all concerned.

5. The Board of Directors of the Transferor Company and of the Transferee Company in their respective Board Meetings dated 09.03.2023 had approved and adopted the proposed Scheme of Amalgamation. A Copy of the Board Resolution dated 09.02.2023, passed by the Board of Directors of the Transferor Company and of the Transferee Company, inter alia, approving the Scheme is filed along with the Petition.

6. From the records, it is seen that the First Motion petition was filed by the Applicant Companies for seeking directions for dispensing and conveying with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies. This Tribunal, in the First Motion Application bearing No. CA (CAA) 43 (ND) 2023, vide Order dated 14.06.2023 dispensed with the requirement of convening the meetings of the shareholders, secured creditors and unsecured creditors of both the Petitioner Companies.

7. Subsequent to the dispensation of meetings in relation to the Transferee Company and Transferor Companies, the Second Motion petition was moved by the Petitioner Companies in connection with the Scheme of Amalgamation for issuance of notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator and other sectorial regulators who shall be affected by the proposed Scheme and to such other Objector(s), if any, and also for publication of notice in respect of the said Scheme. The said petition was admitted and directions were

issued, vide Order dated 22.08.2023 of this Tribunal, requiring the Petitioner Companies to serve notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator and other sectoral regulators likely to be affected by the said proposed Scheme and also to carry out necessary publication in Business Standard (English, Delhi Edition) and Business Standard (Hindi, Delhi Edition) with respect to the said Scheme.

8. The Petitioner Companies in compliance of this Tribunal's order dated 22.08.2023 had submitted affidavit of service and publication dated 30.09.2023 proving the service of the Notice of the present Company Scheme Petition to all the statutory authorities as well as the publication of hearing of the Company Scheme Petition in Business Standard (Hindi & English, Delhi Edition Newspaper) dated 05.09.2023.

9. Pursuant to the notice issued to the Regional Director and Official Liquidator and Income Tax Department, they have filed their response/reply in the matter.

10. The Regional Director along with the Registrar of Companies vide it's report dated 16.10.2023 has made certain observations with regard to the proposed scheme of Amalgamation among the Petitioner Companies. The Petitioner Companies had filed reply dated 04.12.2023 in response to the observations made by the Regional Director, under wherein the Petitioner Companies gave clarifications and undertaking to address the observations made by the Regional Director.

11. The Petitioner Companies vide affidavit dated 01.12.2023 have submitted reply to the observations of the Regional Director.

12. The Income Tax Department submitted its report dated 26.10.2023 with respect to the Transferor Company wherein it is stated that they have no objection with respect to the present Scheme of Amalgamation. Further, the Petitioner Companies had given an undertaking by way of an affidavit stating therein that the Transferee

Company will pay all the dues/demands that may be raised by the Income Tax Departments in future in terms of the applicable provisions of law.

13. The official Liquidator vide it's report dated 22.09.2023 submitted to this tribunal that the affairs of the Transferor Company do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest in terms of the provisions of the Companies Act, 2013 and therefore, the Official Liquidator have no objection to the present Scheme of Amalgamation.

14. Considering the reply of the Petitioner Companies and further, the undertaking of the Petitioner Companies with respect to the observations and clarifications, we find no impediment in approving the present Scheme of Amalgamation.

15. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

16. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

17. The shareholders of the petitioner companies are the best judges of their interest, being fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies as approved by shareholders and creditors.

18. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

19. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

(i) The Petitioners shall always remain bound to comply with the statutory requirements in accordance with law.

(ii) Notwithstanding the sanction, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

20. This tribunal further directs with respect to all the Transferor company and the Transferee company, that:

(i) The Appointed Date of the Scheme shall be 01.04.2022.

(ii) Upon the sanction becoming effective from the appointed date as provided under the scheme, the Transferor Company shall stand dissolved without undergoing the process of winding up.

(iii) All contracts of the Transferor Company, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in

full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vii) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

21. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor company shall be dissolved and the Registrar of

Companies shall place all documents relating to the Transferor Company on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

22. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

23. The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-

ATUL CHATURVEDI
MEMBER (TECHNICAL)

Sd/-

BACHU VENKAT BALARAM DAS
MEMBER (JUDICIAL)